May/June 2024 Paper 02

Question 1

Joanna recently graduated from university with a degree in management studies and wants to operate her own business.

1(a) Management functions

List FOUR management functions that Joanna would be expected to perform in the business. (4 marks)

Four management functions that Joanna would be expected to perform are:

- Planning, which involves setting goals for the business and deciding in advance how those goals will be achieved.
- Organising, which involves arranging the people, money, equipment and other resources of the business so that the work can be carried out efficiently.
- Directing, which involves leading and instructing the workers so that they perform the tasks needed to meet the goals of the business.
- Controlling, which involves checking the actual results of the business against the planned targets and taking corrective action where necessary.

1(b) Responsibilities to stakeholders

State TWO responsibilities that Joanna's business would have to EACH of the following stakeholders: (i) Employees (2 marks); (ii) Customers (2 marks); (iii) Government (2 marks)

(b)(i) Employees

- To pay agreed wages and salaries on time.
- To provide a safe and healthy working environment.

(b)(ii) Customers

- To sell goods and services that are of good quality and safe to use.
- To charge fair prices and give honest information about the products.

(b)(iii) Government

- To pay all taxes and statutory contributions due to the government on time.
- To obey the laws of the country, including those dealing with health, safety and the environment.

1(c) Guidelines for good management and staff relations

State FOUR guidelines, other than effective communication, that Joanna should follow in order to establish and maintain good management and staff relations. (4 marks)

Four guidelines that Joanna should follow are:

- Treating all workers fairly and without favouritism, regardless of their race, gender or background.

- Paying fair wages and providing rewards such as bonuses for workers who perform well.
- Involving workers in decisions that affect their jobs by holding regular staff meetings and inviting suggestions.
- Providing training and opportunities for workers to develop their skills and move up within the business.

1(d) Strategies for effective communication

Explain TWO strategies for effective communication that Joanna should utilize in the management of the business. (6 marks)

Holding regular staff meetings

Joanna should set up regular meetings with her workers, where information about new policies, targets and changes in the business can be shared face to face. These meetings give workers the chance to ask questions, give feedback and raise concerns, which makes sure that everyone understands what is expected of them and feels part of the team.

Using written notices and digital channels

Joanna should also use written tools such as memos, notice boards, emails and group chats on apps like WhatsApp to send out important information quickly. Written communication leaves a clear record that workers can refer back to, reduces the chance of misunderstandings and is useful for sending the same message to many people at once.

Question 2

Paul and Josh exchanged the following text messages.

Paul: Need a deejay for my party on 15th August. Are you available? Will pay $6000.

Josh: Yes, I am available and would love to do it. Can you increase the payment to $6500?

Paul: Glad you're available. Will get back to you regarding the fee.

There was no further communication between Paul and Josh and on 15th August, Josh arrived at the party ready to perform. Josh was furious when Paul informed him that another deejay was hired and he threatened to sue Paul for breach of contract.

2(a) Contract

(i) Define the term 'contract'. (2 marks); (ii) Identify the characteristic of a simple contract highlighted in the case above. (1 mark); (iii) Describe TWO characteristics of a simple contract, other than that cited in the case above. (4 marks)

(a)(i) Definition of contract

A contract is a legally binding agreement made between two or more parties, in which one party makes an offer and the other party accepts that offer in exchange for something of value. Once made, a contract creates rights and duties that the courts can enforce.

(a)(ii) Characteristic shown in the case

The characteristic of a simple contract highlighted in the case is offer and acceptance, since Paul made an offer of $6000 to Josh, and Josh did not accept that offer but instead made a counter-offer of $6500 which Paul never accepted.

(a)(iii) TWO other characteristics of a simple contract

Consideration

Each party to a simple contract must give something of value, called consideration, in exchange for what the other party is giving. In a contract for a deejay, the consideration on one side would be the music and entertainment provided, and on the other side it would be the money paid for that service.

Capacity to contract

Both parties must have the legal capacity to enter into the contract. This means they must be of sound mind, must not be drunk at the time and must usually be at least eighteen years old. A contract entered into with someone who lacks capacity, such as a minor, may not be binding in court.

2(b) Josh's legal action

(i) State whether Josh is likely to succeed if he takes legal action against Paul. (1 mark); (ii) Provide an explanation to support your answer in (b)(i). (3 marks)

(b)(i) Likely outcome

Josh is not likely to succeed if he takes legal action against Paul.

(b)(ii) Explanation

For a simple contract to exist, there must be a clear offer and an unqualified acceptance of that offer. Paul made an offer to pay $6000, but Josh did not simply accept it. Instead, Josh made a counter-offer by asking for $6500, and a counter-offer in law has the effect of rejecting the original offer. Paul never accepted the counter-offer of $6500, so no agreement on price was ever reached, which means there was no binding contract for Paul to break.

2(c) Specialty contract

List THREE characteristics of a specialty contract. (3 marks)

Three characteristics of a specialty contract are:

- It must be in writing and signed by all the parties involved.
- It must be sealed, often with a stamp or wax seal, and witnessed by a third party.
- It does not need consideration in order to be legally binding, unlike a simple contract.

2(d) Termination of contract

Explain, with the use of suitable examples, TWO ways by which a contract may be terminated or discharged. (6 marks)

Termination by performance

A contract is discharged by performance when both parties carry out exactly what they agreed to do under

the contract. For example, if a homeowner agrees to pay a builder $50,000 to build a wall, and the builder finishes the wall to the agreed standard while the homeowner pays the full $50,000, then both parties have performed their duties and the contract comes to a natural end.

Termination by mutual agreement

A contract can also be discharged when both parties freely agree to bring it to an end before it has been fully performed. For example, if a customer orders custom curtains from a tailor but later changes her mind, and the tailor agrees to cancel the order and refund the deposit, then the contract has been discharged by mutual agreement and neither party can later sue the other for breach.

Question 3

3(a) Factors of production

State TWO factors of production. (2 marks)

- Land - all the natural resources used in production, such as soil, minerals, forests and the sea.
- Labour - the human effort, both physical and mental, used to produce goods and services.

3(b) Natural resource and industry

(i) Identify ONE major natural resource found in the Caribbean. (1 mark); (ii) State ONE industry developed from the natural resource identified in (b)(i). (1 mark)

(b)(i) ONE major natural resource

Bauxite is one major natural resource found in the Caribbean, especially in Jamaica and Guyana.

(b)(ii) ONE industry developed from the resource

The alumina and aluminium industry has been developed from bauxite, where the ore is processed into alumina and then into aluminium for export and for use in manufacturing.

3(c) Classification of production activities

The table below describes four different production activities. Complete the table to show the classification of EACH activity by type of production and level of production. An example has been provided for you. Example: Oakwood Furnishing Ltd makes wooden furniture for sale to retail stores throughout the country - Manufacturing, Domestic consumption. (i) Prince Mackie, a Caribbean soca artiste, performs across the Caribbean, Europe and North America. (ii) Blue Waters Fishing Cooperative, located in the parish of St Theresa, supplies fresh fish and other seafood to restaurants and supermarkets in St Theresa and adjoining parishes. (iii) Justin makes school uniforms for his children and other relatives. (6 marks)

(c)(i) Prince Mackie

Type of production: Tertiary or service production, because Prince Mackie provides a service in the form of musical entertainment rather than producing a physical good. Level of production: Export or international (surplus) production, because his performances reach audiences in the Caribbean, Europe and North America, which goes far beyond the local market.

(c)(ii) Blue Waters Fishing Cooperative

Type of production: Primary production, because the cooperative is engaged in fishing, which is a primary activity that takes resources directly from the sea. Level of production: Domestic consumption, because the fish and seafood are supplied to restaurants and supermarkets in St Theresa and the adjoining parishes within the same country.

(c)(iii) Justin

Type of production: Secondary or manufacturing production, because Justin is making school uniforms by sewing fabric into a finished good. Level of production: Subsistence production, because he is producing the uniforms only for his own children and relatives, with little or nothing being sold.

3(d) Production vs productivity

The general manager of Premium Chocolate Factory made the following statement to the board of directors. 'Production for the year 2021 was up 15% over the previous year, but overall productivity declined by 10%'. Explain the meaning of the statement above, clearly differentiating between 'production' and 'productivity'. (4 marks)

Production

Production refers to the total quantity of goods or services that the factory has actually made over a given period of time. The statement that production was up 15% means that Premium Chocolate Factory made 15 per cent more chocolate in 2021 than it did the year before.

Productivity

Productivity, on the other hand, measures how efficiently the factory has used its resources, such as workers, machines and raw materials, to make that output. It is usually expressed as output per worker per hour. The statement that productivity declined by 10% means that even though more chocolate was produced, each unit of input, such as each worker hour, produced 10 per cent less chocolate than before, so the factory became less efficient overall. This could happen if the factory hired many more workers or used more raw materials than the increase in output justified.

3(e) Increased productivity at Sunshine Beach Resort

A recent survey indicated that there was a significant increase in the productivity of the staff of Sunshine Beach Resort when compared with the previous two years. Explain TWO likely reasons for the increased productivity of the staff of Sunshine Beach Resort. (6 marks)

Improved training and skills development

If the resort invested in regular training programmes for its staff in areas such as customer service, food preparation and housekeeping, the workers would be able to do their jobs faster and to a higher standard. Better trained workers make fewer mistakes, serve guests more quickly and need less supervision, all of which raise output per worker.

Better motivation and working conditions

If the resort improved wages, gave bonuses for good performance, recognised hard-working staff and upgraded the working environment, employees would feel more valued and would put more effort into

their work. Workers who are well motivated tend to be more energetic, more careful and more loyal, which directly increases the amount and quality of work they produce in the same number of hours.

Question 4

4(a) Market and marketing

Define EACH of the following terms: (i) Market (2 marks); (ii) Marketing (2 marks)

Market

A market is any arrangement that brings buyers and sellers together to exchange goods and services for money. It does not have to be a physical place such as a shopping centre, since markets can also exist online or over the telephone, wherever buyers and sellers can communicate and agree on a price.

Marketing

Marketing is the set of business activities used to identify the needs and wants of customers and to satisfy those needs and wants profitably. It involves researching the market, designing the product, deciding the price, choosing how the product will reach the customer and promoting the product so that customers know about it and want to buy it.

4(b) Marketing mix

List the FOUR elements of the traditional marketing mix. (4 marks)

- Product - the goods or services that the business offers to satisfy customer needs.
- Price - the amount of money the customer is asked to pay for the product.
- Place - how and where the product is made available to the customer, including the channels of distribution.
- Promotion - all the activities the business uses to inform customers about the product and persuade them to buy it.

4(c) Branding and sales promotion

Describe EACH of the following marketing activities. State ONE example of EACH activity. (i) Branding (3 marks); (ii) Sales promotion (3 marks)

(c)(i) Branding

Branding is the marketing activity in which a business gives its product a unique identity, made up of a name, logo, design and image, so that customers can easily recognise the product and tell it apart from similar products on the market. An example of branding is the use of the swoosh symbol and the name 'Nike' on sports shoes and clothing, which makes the brand instantly recognisable around the world.

(c)(ii) Sales promotion

Sales promotion is a short-term marketing activity used to encourage customers to buy a product right away by offering them an extra benefit or saving. An example of sales promotion is a 'buy one, get one free' offer on toothpaste in a supermarket, which gives shoppers an immediate reason to choose that brand over its competitors.

4(d) Pat's hand sanitizers

The COVID-19 pandemic presented Pat with a business opportunity to manufacture and sell hand sanitizers. Initially she was extremely optimistic, as she thought that the demand for her product would have been great. After one year in operation, Pat was disappointed that the sales of her hand sanitizers were not as she expected. Explain TWO factors that may have influenced the consumers' response to Pat's hand sanitizers. (6 marks)

Competition from other producers and falling demand

By the time Pat had her sanitizers ready, many other firms, both local and foreign, had also rushed into the same market with their own brands, which meant that consumers had many cheaper or better-known options to choose from. As the worst of the pandemic passed and people felt less afraid of catching the virus, the overall demand for hand sanitizers also fell sharply, so even shoppers who would have bought her product before were now buying less of it.

Quality, price and packaging of the product

Consumers compare new products with what they already trust, so the look, feel and smell of Pat's sanitizer, along with its price, would have had a big effect on her sales. If her bottles looked plain, if the alcohol content was uncertain or if the price was higher than well-known brands, shoppers would have stayed with the brands they already knew. On the other hand, weak packaging or labelling that did not clearly state that the product killed germs would have given consumers no good reason to switch to her brand.

Question 5

5(a) ICT in banking and computer software

(i) State FOUR ways in which information and communications technology (ICT) has influenced banking and finance operations. (4 marks); (ii) Identify TWO computer software programs designed for use in business. (2 marks)

(a)(i) FOUR ways ICT has influenced banking and finance

- Customers can now use Automated Teller Machines (ATMs) to withdraw cash, check balances and pay bills at any time of day or night.
- Online and mobile banking allows customers to transfer money, pay bills and apply for loans from their phones or computers.
- Electronic funds transfer and real-time gross settlement systems allow money to move between banks and accounts in seconds rather than days.
- Computerised record keeping has replaced large paper files, so transactions are processed and customer records are updated almost instantly.

(a)(ii) TWO computer software programs for business

- Microsoft Excel, a spreadsheet program used to record figures, calculate totals and prepare budgets and financial statements.

- QuickBooks, an accounting software package used to keep proper books of accounts, generate invoices and produce management reports.

5(b) E-business and e-commerce

Distinguish between 'e-business' and 'e-commerce'. (4 marks)

E-business

E-business, short for electronic business, is the wider term that covers all the business activities a firm carries out using the internet and electronic technology. It includes online marketing, online customer service, the use of email and intranets to communicate with employees and suppliers, online recruitment and the management of inventory and accounts using electronic systems.

E-commerce

E-commerce, short for electronic commerce, refers specifically to the buying and selling of goods and services over the internet. It is therefore one part of e-business and includes activities such as ordering items from an online store, paying with a credit or debit card on a website and having the goods delivered or downloaded electronically.

5(c) ICT improvements to business operations

State FOUR ways in which ICT could improve the operations of a business. (4 marks)

Four ways in which ICT could improve the operations of a business are:

- By speeding up communication with customers, suppliers and workers through email, online chat and video calls.
- By keeping more accurate records of stock, sales and accounts using databases and accounting software, which reduces errors and waste.
- By allowing the business to reach a wider market through a website and social media, so that products can be sold both locally and overseas.
- By making it easier for managers to analyse data and make better decisions, using spreadsheets and reporting tools that show trends in sales and costs.

5(d) ICT and privacy

The unethical use of ICT poses a significant challenge to businesses. One such issue is that of privacy. Explain TWO issues related to privacy that have arisen due to the unethical use of ICT. (6 marks)

Unauthorised access to personal data and identity theft

When businesses store customer information such as names, addresses, credit card numbers and dates of birth on computer systems, criminals can hack into these systems and steal the data. The stolen information is then used for identity theft, where criminals use other people's details to open bank accounts, apply for loans or make online purchases. This causes financial loss and emotional stress to the customers and serious damage to the reputation of the business that failed to protect their data.

Misuse of personal information by the business itself

Some businesses collect personal information from customers when they register on websites or social media, and then sell or share that information with other companies without the customers' permission. This results in customers being bombarded with unwanted advertising, phone calls and spam emails. It also means that very private details about people's habits, locations and finances can be used in ways they never agreed to, which is a serious breach of their right to privacy.